

Debt Service Coverage No Ratio

Investor/Business Purpose

No Ratio				
1-4 Unit Purchase/Rate and Term				
FICO	\$750,000	\$1,000,000	\$1,500,000	\$2,000,000
760+	70%	70%	65%	60%
740-759	70%	70%	65%	60%
720-739	65%	65%	60%	NA
700-719	60%	60%	60%	NA

No Ratio				
1-4 Unit Cash out				
FICO	\$750,000	\$1,000,000	\$1,500,000	\$2,000,000
760+	60%	60%	55%	55%
740-759	60%	60%	55%	55%
720-739	55%	55%	55%	NA
700-719	55%	55%	55%	NA

Reserves

Loan Amount	\$150,000-\$500,000	3 Months
	\$500,001-\$2,000,000	6 Months

Eligibility	
Eligible Borrowers	- US Citizen - Permanent Resident Alien - Background check and fraud report required
Occupancy	Investor-Only
Product Offering	5/6 ARM 30 Year Fixed Rate
Min loan amount	\$150,000
Property Types	- Single Family Detached - Single Family Attached 2-4 Unit Residential Properties - Warrantable Condos - Non-Warrantable (check eligibility) - PUDs
Age of Documentation	- Credit Report – 120 days from the Note date - Income-60 days from the Note date - Assets- 60 days from the Note date - Appraisal- 120 days, 180 days with a recert of value

	• Preliminary Title- 90 days from the Note date
Restrictions	• Gift of equity not permitted • Cash in hand limited to \$500,000 • Vacant units not permitted on refinance transactions • Non Arms length transactions not permitted • First Time Homebuyer not permitted • First Time Investor not permitted
Credit	
Credit Score	The Qualifying Credit Score is the credit score of the Borrower with the greatest Qualifying Credit Score among all Borrowers. The Qualifying Credit Score for a Borrower is • the middle score for Borrowers with three Credit Scores, • the lower score for Borrowers with two Credit Scores.
Tradelines	• 3 tradelines reporting for 12 months. • 2 of the 3 tradelines must have been active in the last 12 months. The following are eligible tradelines. • Any account reported by Experian Trans Union or Equifax • Verification of mortgage in accordance with these guidelines • Verification of rent in accordance with these guidelines • Verification of installment debt in accordance with these guidelines
Mortgage and Housing History Requirements	No Borrower may be more than 0x30x12 or 0x120x48 on any mortgage or rental payment for a property located in the United States. All borrowers must document their current housing payment history for the most recent 12 months for Subject Property, the Borrowers primary housing and all mortgage listed on the credit report. If the credit report does not reflect the current housing payment history for the Subject property or the Borrower current primary housing, the following documentation is required: • Mortgage and/or HELOC payments: ○ Loan payment history from the servicer or third-party verification service, ○ Verification of mortgage (VOM) from an institutional lender OR most recent 12 months cancelled checks or bank statements ○ Verification of mortgage (VOM) from a private lender OR 12 months cancelled checks or bank statements. • Owned free and clear: ○ Most recent 12 months property taxes paid on time • Rent payments: ○ Verification of Rent (VOR) from a management company ○ Verification of Rent (VOR) from a private landlord AND most recent 12 months cancelled checks or bank statements • First Investor: ○ Not Permitted • First time homebuyer: ○ Not Permitted

Derogatory Credit	The seasoning requirement for derogatory credit is four years for Bankruptcy, Foreclosure, Short Sale/Deed in lieu at standard eligibility requirements. Forbearance, loan modifications, or deferrals are treated as a short sale / deed-in-lieu for eligibility and pricing purposes. Any loan in forbearance or a deferral due to COVID-19 is not considered derogatory credit and is still eligible for purchase by Logan at standard LTV and reserves if one of the following is true: • The loan is fully reinstated meaning the deferred balance was paid in full and the source of the funds used to pay the deferred balance has been sourced to an allowable asset in accordance with section 8 of these underwriting guidelines, and the borrower has made at a minimum the last 3 months consecutive payments • The Borrower has exited the forbearance or deferment and has made at least 6 months consecutive payments Any loan payment history that appears to reflect the above may require additional documentation, such as canceled checks or bank statements to show payments were made
Income	
Qualifying Mortgage Payment	• Fully amortized including Fixed rate and ARM's ◦ Full amortized payment using the Initial Note Rate
Calculating Income	DSCR calculation not required
Assets and Gifts	
Asset Seasoning	• Assets must be sourced and seasoned for 60 days
Allowable Assets	• Account statements (bank, credit union, brokerage, etc.) covering the seasoning period for the applicable program. • Stocks/bonds/mutual funds – 70% of stock accounts may be considered in the calculation of assets for closing and 100% maybe used reserves. • Vested retirement account funds – 70% may be considered for down payment and closing costs. If the Borrower is using vested retirement account for reserves 100% of the value can be used. • Life insurance and annuities- the surrender value of life insurance and annuities can be used to meet the reserve requirements. • Business funds may be used for down payment, closing costs and reserves. The Borrower must be listed as an owner of the account. • The ending balance of business funds used may be the lessor of 100% of the ending balance or the percent of business ownership of the ending balance. If the loan is vesting in the name of the business 100% of the business funds may be used. • Cash-out proceeds can be used to meet the reserve requirement
Ineligible Assets	• Non-vested or restricted stock accounts are not eligible for use as down payment or reserves. • Any assets which produce income or are used as income already included in the income calculation are not eligible for use as down payment or reserves. • Assets/funds held outside the U.S. • Cash-on-hand

	• Sweat equity • Grant funds • Down payment assistance programs • Unsecured loans or cash advances • Crypto Currency
Gift Funds/Eligible Donors	• Gift funds are permitted for down payment and closing costs only. • No minimum contribution from the Borrower is required. • Gift of equity not permitted A gift can be provided by: • a relative, defined as the Borrower's spouse, child, or other dependent, or by any other individual who is related to the Borrower by blood, marriage, adoption, or legal guardianship; or • A non-relative that shares a familial relationship with the borrower defined as a domestic partner (or relative of the domestic partner), individual engaged to marry the borrower, former relative or God parent • The donor may not be, or have any affiliation with, the builder, the developer, the real estate agent, or any other interested party to the transaction.
Additional Information	
Eligible Vesting	• Individuals • Tenants in common • Joint tenants • Inter vivos revocable trust • LLCs • Corporations
Prepayment Penalty	• Required 1, 2, 3, and 5-Year Options Available ◦ If the state does not allow prepayment penalty, the prepayment penalty must be bought-out • 5 Year PPP required on 1 Unit Properties with loan amount \$1,500,000 or greater
Limitation on Financed Properties	• Capped at 6 loans or \$5,000,000 Purchased by Logan (whichever comes first) • Maximum financed properties limited to 20
Multiple Appraisals/Desk Review	A second appraisal is required when any of the following conditions exist: • The loan balance exceeds \$2,000,000. • As required under the Appraisal Review Products section of this guide. • When a second appraisal is provided, the transaction's "Appraised Value" will be the lower of the two appraisals. The second appraisal must be from a different appraiser than the first appraisal. An enhanced desk review product is required and will be ordered by Logan from any of the following: ◦ ARR from Pro Teck ◦ CDA from Clear Capital or ◦ FNMA Collateral Underwriter (CU) with a score of ≤ 2.5